ISACA Chapter Leader Guidebook

Chapter Treasurer

What do I need to know as a chapter treasurer?

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All questions, concerns, comments, reports, and notifications should be submitted to ISACA Support using the "Chapter" tab.

Welcome!

Congratulations, and welcome to your role as chapter treasurer!
The chapter treasurer is seen by the membership and the community as a local representative of ISACA. You will assist the chapter board in organizing activities and efforts to ensure professional and personal growth for the members, as well as chapter sustainability. The chapter treasurer reports to the chapter president.

As the chapter treasurer, your fellow chapter members have expressed their confidence and trust in you to oversee the chapter's funds. You will also be responsible for tasks such as tax filings (for US chapters), state/local and other mandated reporting, and maintaining insurance coverage for the chapter.

Roles and Responsibilities of the Treasurer

The chapter treasurer serves as the chapter's financial representative and is responsible for maintaining the appropriate internal controls over the chapter's financial assets. Your duties will include managing the chapter's bank account, writing checks or using debit/credit cards as approved by the chapter president/board, and depositing dues/fees, and other revenue. You are also responsible for filing required tax returns (for US chapters), maintaining annual business licenses, maintaining adequate chapter insurance coverage, and keeping accurate and up-to-date financial records for the chapter.

The treasurer's duties are essential, as inaccuracies, late payments, missing documents, and other errors can have serious consequences for the chapter and its members.

Chapter treasurer responsibilities include:

- Maintain data privacy, per chapter and ISACA policies, as well as local regulations (e.g., GDPR).
- Ensure there is a complete, clear, and balanced audit trail of all chapter financial transactions for the current and prior years, including:
  - Checkbook entries
  - Savings account records
  - Monthly treasurer reports
  - Financial correspondence
  - General ledger, including **journal entries**—Make your own numbering system, but keep documentation to support ***EVERY*** entry made to the chapter books. (This can be paper or electronic.)
    - Canceled checks (if applicable)
    - Deposit slips
    - Bills—receipted and outstanding
- Purchase and/or authorize the purchase of supplies, including:
  - Meeting equipment rentals
  - Stationery and office supplies
  - Prizes, swag, and awards
  - Meeting space expenses, meals, etc.

    - Approvals/authorizations required to make a payment**.**
- Ensure the availability of supplies, gifts, or equipment.
    - Ensure purchases are being made with president's/board's approval(s).
    - Maintain record of all purchases.
- Maintain an inventory of physical equipment owned by the chapter, if applicable.
- Collect all funds owed to the chapter.
- Track and record local dues received from ISACA Global.
- Track and record sponsorships and donations received by the chapter.
- Track and record donations, contributions, awards, and scholarships given/distributed.

Reporting

The treasurer reporting responsibilities include:

- Reporting directly to the president and being responsible to the chapter board and the chapter members.
- Assisting in the preparation of income tax filings (for US chapters).
- Reporting the chapter's financial condition to the members, after board review, and making it accessible to the members.
- Submitting an independent audit or financial verification letter and other reports to ISACA Global, as required.

Chapter Meetings

- Prior to the meeting, coordinate with other chapter officers (president, vice president, program director, etc.) to make deposits for facility, catering, and speakers.
- Verify fees are set and/or collected for chapter meetings and activities.
- Prepare a chapter year-end financial report for the annual general meeting (AGM).

Board Meetings

- Attend and actively participate in board meetings.
- Prepare a treasurer's report for each board meeting to keep the board and the membership informed about the chapter 's financial position at all times.
- Execute a turnover/annual planning meeting.
    - Participate in annual planning process.
    - Assist president with preparation of the annual budget.
- Provide financial data and monthly reports to the audit committee overseeing chapter finances.

Annual Items

- Arrange for **insurance** and provide recommendations regarding coverage amounts.
- Ensure **incorporation** fees/licenses are filed on time, as appropriate. Your chapter should be incorporated as a not-for-profit business.
- Investigate **tax** ID number/tax-exempt status with local authorities.
    - **US Only:** Since ISACA is a 501(c)(6), and not a 501(c)(3), we are not exempt from state sales tax, nor are donations tax deductible. It only provides relief from federal income tax. **State income tax exemption is not automatic.** Each chapter should inquire with their resident state about the requirements to be recognized as a tax-exempt organization to avoid state income tax. Most states require exempt entities to complete an application and fulfill annual requirements to remain in good standing.
    - **Other countries** should verify their local laws and requirements.
- Review financial activity to ensure income and expenses are adequately supported.

    - Review chapter activities and management to ensure compliance with chapter bylaws.
    - Establish and publish date for completing financial audit.
    - Ensure the financial audit is conducted by an individual who is not a member of the chapter. (In some chapters, the chapter board must ratify the recommendation.) Provide all necessary documents to the individual conducting the audit.
    - Report audit findings to the chapter board.
    - Follow up on discrepancies with prior chapter officers and board members and initiate corrective action, if necessary.
- Retain the remittance reports/account statements provided by the chapter president and pass this information along to successor.
- Recommend an investment strategy for chapter's reserve funds.
    - Suggest a minimum amount for reserve funds.
    - Present a plan to build reserves and initiate it with the approval from the chapter board.
- Organize an annual audit of chapter finances and activities for the previous year.
    - Initiate an independent review to verify accounting is valid and accurate.
    - Provide ISACA Global with the independent audit or financial verification letter within 30 days following AGM. Submit via ISACA Support using the "Chapter" tab.
    - **US Only**: Prepare and return annual chapter tax packet, as requested by the ISACA Tax Department.

Create Your Budget

Budgets should be prepared with the goal and objective of the chapter in mind.

- A chapter budget should be prepared at the beginning of the fiscal year before any expenditures are made.
- The budget should be prepared through consultation with the chapter president and committee chairs, and it should be approved by the chapter board.
- The budget should be reviewed quarterly against actual expenditures and revised accordingly.
- When creating the budget, surplus reserve funds accumulated in prior years may be used to provide for specific programs in the current year. However, if there are no surplus funds, the creation of and budgeting for a general surplus fund should be considered. This type of cash reserve should be kept at adequate levels to retain good credit and provide for unexpected contingencies. To prevent loss of exempt status, reserves must either be retained or reinvested in exempt purpose activities.

Keep Accurate Financial Records

Chapter records should be reconciled with the chapter's bank balance on a monthly basis. The chapter president—or an officer other than the chapter treasurer—should review this reconciliation.

Maintaining the supporting records for the chapter's financial transactions is important. Therefore, the chapter president should verify key elements of the audit trail are adequately retained. All chapters should consider adopting a Record Retention Policy. **For guidance, refer to the sample document retention and destruction policy and requirements in this guidebook's Appendix.**

All cash receipts should be recorded and deposited on a timely basis, with all expenditures recorded at the time they are made. Chapter records should be kept on a **cash basis**, thus reflecting the current financial condition of the chapter. The chapter may also wish to keep

records of accounts receivable and accounts payable (accrual basis) to project future cash needs. However, these records should be for chapter use only.

The records of each **US chapter** must be summarized on a cash basis and forwarded to ISACA Global once a year to be included in the IRS Group Organization Exempt from Income Tax Form 990 return.

Banking

Chapter funds should be held in a reputable bank or credit union. Here are some things to consider:

- Your chapter should be set up in the bank as a not-for-profit business to allow for transfer of the account to new chapter officers in the future.
- Be sure to have at least three signatories on each account.
- Determine if you will use PayPal, Cvent, etc., and be sure to verify setups and logins.
- Determine if you will have credit or debit cards associated with the account and specify who will have access to them.

The chapter's legal name should be used to establish these accounts. It is recommended to use a bank that provides checking account services for nonprofit organizations without a service fee. Any surplus funds should be placed in a savings account or certificate of deposit.

Bank accounts should be reconciled on a monthly basis with irreconcilable items investigated promptly. Failure to reconcile within 10 days could result in the chapter losing its right to hold the bank liable for fraudulent activity in the account. Bank statements and canceled/voided checks should be kept for a period of time that is deemed appropriate by the chapter.

It is *strongly recommended* each chapter board **require multiple signatures** for checks issued for more than a specified amount and regularly **review the authorized signatories** on the accounts. Due to the ever-increasing prevalence of fraudulent activities taking place around the world, ISACA encourages chapters to speak with their local bank to identify the most effective steps for mitigating the risk of fraud.

Accounts

Appropriate accounts should be set up to properly record the assets, liabilities, income and expenses of the chapter. Please see the Chapter Leader Portal **here** for the minimum account categories that should be established to simplify annual reporting to ISACA for US tax-filing purposes. These account categories can also serve as suggestions for non-US chapters.

Financial Reports

Monthly financial reports should include total income and expenditures based on the established accounts. These reports should be prepared by the chapter treasurer and approved by the chapter board. Failure to produce timely financial information may indicate irregularities and hinder the ability of the chapter board to take corrective action for reserve shortfalls or expense overages. The chapter president should investigate any delays and take corrective action when necessary.

US State Sales Tax/International VAT and GST

Since chapters are classified by the IRS as a 501(c)(6) and not a 501(c)(3), most states **do not recognize US chapters to be exempt from state sales and use tax. Therefore, US chapters must pay the sales tax charged on any purchase.** If a US chapter purchases books for resale, they

should check with their state to see if they need to obtain a resale certificate to avoid paying sales tax on inventory bought for resale. A supplier is required to request proof of exemption or resale to not charge sales tax on a purchase.

Regarding Consumption Tax (GST and VAT), it is rare for a country to exempt a chapter from paying these taxes. Consumption tax regulations are unique within each country and can be dependent on the type of product and service, whether it is taxable or non-taxable, and minimum thresholds based on the number of transactions or sales amounts. Non-US chapters should contact their local government agency to inquire about tax compliance and registration requirements.

Should you have chapter tax-related questions, please contact ***chaptertax@isaca.org***. **Additional information on managing your chapter's finances can be found in the Chapter Leader Portal.**

US Chapters Tax Returns and Scholarship Awards

Please see this guidebook's **Appendix** for information.

Succession Planning

Though it varies from chapter to chapter (according to the chapter bylaws), your term as a chapter officer will eventually come to an end. Just as you likely found it beneficial to "Learn from your Predecessor," it would be helpful to offer a one-on-one handover meeting to the individual coming into your role.

During this meeting, you can share your insights, experiences, tips, and updates on current initiatives. Offer support and guidance to help the incoming treasurer build on all the hard work and time you devoted to the chapter. For example, you could develop a transition procedure (e.g., checklist) to help ensure most key activities are covered, and ongoing support and attention is given to items that take longer than one term to accomplish.

Turnover Procedures

When a new chapter treasurer enters the role, the following should be completed:

- Update the chapter's inventory records and perform a physical inventory. The results of the physical inventory should be compared to the beginning inventory, and all discrepancies should be investigated.
- Prepare a list of all outstanding items related to the duties of treasurer, including unpaid invoices. Ensure each invoice has appropriate documentation and approvals attached.
- Initiate a change of names, authorized signers, account passwords, and signature cards for chapter bank accounts and post office boxes, where applicable.
- Add and remove user access and update administrator passwords for financial application software (e.g., Quickbooks). Schedule and coordinate theses updates with the chapter president, other officers, and financial institutions, as necessary.
- Ensure the post office box keys are transferred to new officers and the rental is paid (if a PO Box is used).
- Transfer files, financial records (such as the checkbook, check register, financial statements, chapter tax packet records, business registration records, software, awards, etc.) to the new chapter treasurer.
- Attend the turnover meeting as scheduled by the chapter president.
- Hand over any PayPal account and card reader, if used.
- Pass along the remittance reports/account statements.

Appendix

Timetable for Action for Chapter Treasurer

Within 30 days of the AGM:

- Engage with the new chapter treasurer to start the handoff/succession process.
- Complete an annual review of the chapter's financial records to produce an independent audit or financial verification letter.
- Within 60 days of the AGM: Submit the independent audit or financial verification letter to ISACA Global.

Key Links

- **Chapter Leader Portal**
- **Engage**
- **Chapter Leader Exchange**
- **Policies and Compliance**
- **Chapter Bylaws Template**
- **Membership**
- **Certifications and Certificates**
- **Training and Events**
- **ISACA Newsroom**
- **COBIT**
- **OneInTech** (ISACA Foundation)
- **SheLeadsTech**

General Financial Procedures
US Chapters: Tax Returns and Scholarship Awards
Sample Document Destruction Policy
Sample Document Retention Requirements

General Financial Procedures

Neither ISACA nor its chapters exist for the purpose of capital accumulation. However, in managing chapter affairs, it is necessary to ensure that most projects break even after actual expenses are taken into consideration. Surpluses that result should be used to maintain an adequate financial reserve, contribute to major ISACA research projects and fund additional chapter educational offerings or other member benefits.

Chapter financial procedures should be as simple as possible, yet complete, with safeguards to ensure proper control. The records should provide a simple, clear analysis of yearly operations and provide for easy reporting to the association. The recommended procedures are designed to fit the requirements of chapters and are on a cash basis.

Because ISACA has no obligation or responsibility for local chapter finances/record keeping, this responsibility is placed solely with the local chapter officers; therefore, chapter finances should be kept under tight budgetary control, with budgets being established by the chapter board or finance committee. All financial records should be reviewed on a regular (e.g. annual) basis by the chapter audit committee (or designated auditor) for compliance with approved chapter policies, with exceptions reported to the chapter board.

In addition, the ISACA Board of Directors requires that any financial irregularities found in a chapter be reported at once to ISACA Global and to local authorities, as appropriate.

US Chapters: Tax Returns and Scholarship Awards

US Chapters—Form 990 Group Tax Return

ISACA and its chapters based in the United States (US) were issued a determination letter on 24 February 1974. ISACA and its subordinates (ISACA US Chapters) have been recognized as exempt from Federal income tax under section 501(c)(6) of the Internal Revenue Code (IRC). Because ISACA and its subordinates are not an organization described in section 170(c) of the IRC, donors may not deduct contributions made to them. ISACA and its subordinates should advise their contributors to that effect.

The association is permitted to file an IRS Group Organization Exempt from Income Tax Form 990 information return for all US chapters under a group federal employer identification number (FEIN) 94-2919522 with a group exemption number (GEN) 2504 used for tax filing purposes only.

The above stated FEIN and ISACA's FEIN are not to be confused with the chapters' individual FEIN obtained from the IRS for purposes of filing for corporation status, state registrations, and filings, and may be used only when responding to federal tax filing notices.

Although the group return fulfills the IRS federal 990 tax filing requirements for US chapters, it DOES NOT fulfill any IRS federal 990-T or state and local tax requirements. The chapter must complete all other tax forms as required by its state and local governments, including, but not limited to, state sales and use tax returns, IRS unrelated business income tax returns (Form 990-T), and state unclaimed property returns.

Any US chapter that chooses to be excluded from the IRS group return, should send written notification to ISACA of their election not to participate in the group return. An email authorizing the exclusion should come from the chapter president and treasurer. The IRS Organization Exempt from Income Tax information return will become the responsibility of the US chapter.

A formal request regarding the information needed to prepare the group tax return process is sent annually by ISACA's tax department to chapter presidents and treasurers. **Adherence to the due dates is critical for ISACA's Tax Department to compile all US Chapter financials and questionnaire responses to meet the IRS's tax return due date.**

US Chapters—Information Returns (i.e., Form 1099-MISC)

If, as part of the US chapter's business, the chapter made payments to independent contractors or others (not employees) for services performed, the chapter is required to file certain information returns. Independent contractors can consist of attorneys, accountants, bookkeepers, executive administrators, speakers, trainers, and so on. The chapter is required to request from the individual performing the service a completed Form W-9 to request the individuals Taxpayer Identification Number (TIN) to avoid income tax withholding. The Form W-9 should be completed prior to service performed or payment to the recipient for TIN matching verification to avoid income tax withholding.

The chapter is required to report payments (income earned) to the independent contractor on a calendar year basis by completing the appropriate information return. Do not include as income

the reimbursement of actual travel expenses when receipts are provided. For independent contractor income reporting, the chapter will be completing and submitting a Form 1099-Misc along with a Form 1096, Annual Summary and Transmittal of U.S. Information Returns to the IRS. A copy should be provided to the independent contractor, too. The forms are to be filed by 31 January of the following tax year. Please refer to the IRS website (***www.irs.gov***) and put in the search field 'information return reporting' for additional information and instructions.

When a US chapter provides awards or gifts in the form of cash, check, gift certificates, gift cards, or a tangible gift of value (e.g., laptop, i-pad, etc.), the award or gift is considered revenue to the recipient. These gifts or awards are not considered de minimis (e.g., trophy, plaque). These gifts or awards are reportable as income and subject to the same information reporting requirements for independent contractors, as mentioned in above paragraphs.

Please refer to the IRS website for further guidelines and instructions or use this link: ***https://www.irs.gov/***. Use the search field to find information, instructions and forms.

Please refer to the US chapter resident state website (usually the state's Department of Revenue) for guidelines and instructions on state and local tax reporting and compliance.

Please refer to the US chapter resident state website (typically the state's Secretary of State) for guidelines and instructions on incorporation, business registrations and annual reports.

DO NOT assume state departments share information. Please contact both state departments.

US Chapters—Scholarship Awards

When a chapter awards a scholarship to a student/individual to offset tuition, books, and other educational expenses, the chapter is required to track and report. The scholarship award becomes part of the Form 990 group return filing. There is no requirement to complete and submit an Information Return to the IRS to report the scholarship awarded to the student.

For best practices, ISACA's tax department recommends submitting the scholarship awarded funds to the educational institutions bursar's office in the name of the student to be applied on the student's account. Doing so affirms the funds will be used for educational purposes and becomes part of the educational institutions requirement to file a Form 1098-T. The scholarship fund is not taxable as income to the student. The Form 1098-T is a confirmation of the scholarship awarded to the student and provides proof the funds are not considered taxable income.

Should you have any chapter tax-related questions, please contact ***chaptertax@isaca.org***.

Additional information on managing your chapter's finances can be found in the Chapter Leader Portal.

Sample Document Destruction Policy

PURPOSE OF THIS TOOL: Certain federal laws prohibit the destruction of certain documents. Not-for-profit organizations should have a written, mandatory document retention and periodic destruction policy. Policies such as this will eliminate accidental or innocent destruction. In addition, it is important for administrative personnel to know the length of time records should be retained to be in compliance.

Document Destruction

- The Document Retention and Destruction Policy identifies the record retention responsibilities of staff, volunteers, members of the board of directors, and outsiders for maintaining and documenting the storage and destruction of the organization's documents and records.
- The organization's staff, volunteers, members of the board of directors, committee members and outsiders (independent contractors via agreements with them) are required to honor the following rules:
  a) Paper or electronic documents indicated under the terms for retention in the following section will be transferred and maintained by (fill in the blank based on the organization's practices);
  b) All other paper documents will be destroyed after three years;
  c) All other electronic documents will be deleted from all individual computers, data bases, networks, and back-up storage after one year;
  d) No paper or electronic documents will be destroyed or deleted if pertinent to any ongoing or anticipated government investigation or proceeding or private litigation (check with legal counsel or the human resources department for any current or foreseen litigation if employees have not been notified); and
  e) No paper or electronic documents will be destroyed or deleted as required to comply with government auditing standards (Single Audit Act).

Record Retention

- The following table* indicates the minimum requirements and is provided as guidance to customize in determining your organization's document retention policy. Because statutes of limitations and state and government agency requirements vary from state to state, each organization should carefully consider its requirements and consult with legal counsel before adopting a Document Retention and Destruction Policy. In addition, federal awards and other government grants may provide for a longer period than is required by other statutory requirements.

Resources

- National Council of Nonprofits www.councilofnonprofits.org
- BoardSource Record Retention and Document Destruction Policy—Download 4 Samples (E-Policy Sampler) www.boardsource.org/Bookstore.asp?Type=epolicy&Item=1071
- Independent Sector www.independentsector.org/issues/sarbanesoxley.html
- AICPA Management of an Accounting Handbook—2003 and IRS Appendix Document www.cpa2biz.com/AST/Main/CPA2BIZ_Primary/PracticeManagement/PracticeAdministration/PRDOVR~PC-090407/PC-090407.jsp
- Guide to Record Retention Requirements in the Code of Federal Regulations: Contact the Superintendent of Documents, U.S. Government Printing Office, Washington, D.C. 20402-9325 or from CCH, Inc. at ***www.onlinestore.cch.com***.

* Adapted from National Council of Nonprofits.

Sample Document Retention Requirements

Type of Document	Minimum Requirement
Accounts payable ledgers and schedules	7 years
Audit reports	Permanently
Bank reconciliations	2 years
Bank statements	3 years
Checks (for important payments and purchases)	Permanently
Contracts, mortgages, notes, and leases (expired)	7 years
Contracts (still in effect)	Contract period
Correspondence (general)	2 years
Correspondence (legal and important matters)	Permanently
Correspondence (with customers and vendors)	2 years
Deeds, mortgages, and bills of sale	Permanently
Depreciation schedules	Permanently
Duplicate deposit slips	2 years
Employment applications	3 years
Expense analyses/expense distribution schedules	7 years
Year-end financial statements	Permanently
Insurance records, current accident reports, claims, policies, and so on (active and expired)	Permanently
Internal audit reports	3 years
Inventory records for products, materials, and supplies	3 years
Invoices (to customers, from vendors)	7 years
Minute books, bylaws, and charter	Permanently
Patents and related papers	Permanently
Payroll records and summaries	7 years
Personnel files (terminated employees)	7 years
Retirement and pension records	Permanently
Tax returns and worksheets	Permanently
Timesheets	7 years
Trademark registrations and copyrights	Permanently
Withholding tax statements	7 years

* Adapted from National Council of Nonprofits.